Building Materials & Products Market Health Report

2025 YTD

November 2025

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Building Materials & Products Market Health Report
(2025 YTD)

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Introduction

Building materials and products form the backbone of the construction industry, encompassing core inputs such as cement, lumber, and steel alongside finished components like windows, doors, and roofing.

While global trends influence the sector, this report focuses on the U.S. market, drawing on select international benchmarks and risk indicators to provide context.

Applied Value's analysis combines macroeconomic data with company-level insights to assess the health of key construction segments. Because demand for building materials directly mirrors construction cycles, the report uses U.S. construction activity as the primary lens for evaluating market conditions and outlook.

Throughout, we provide practical guidance for managing volatility and positioning for growth through Applied Value's Lean Growth framework, helping clients mitigate input cost inflation, close labor gaps, and enhance operational efficiency.

Executive Summary

Performance & Outlook for the US Market

Year-to-date 2025 data underscore a fragmented construction landscape shaped by tightening financial conditions and shifting demand fundamentals. Single-family housing permits declined 4–5% year over year, and multifamily starts moderated sharply, both constrained by high mortgage rates and record affordability challenges. Absorption stayed sluggish, and consumer confidence hovered near cyclical lows.

In contrast, nonresidential segments, particularly infrastructure, institutional, and industrial, maintained strength, supported by robust federal programs (IIJA, CHIPS, IRA). Public backlogs reached historic highs, while private pipelines softened amid a sixteen-month contraction in architectural billings.

Input costs stabilized but remain exposed to tariff and geopolitical volatility. Persistent skilled labor shortages and rising wage pressures extended project timelines and increased delivery costs. Credit conditions tightened sharply, with higher equity thresholds and restricted lending, especially for smaller or speculative developers.

For upstream and midstream suppliers, the outlook is mixed. Heavy construction inputs—aggregates, cement, asphalt, and structural steel—benefit from long-cycle public and industrial projects, while residential-oriented materials (framing lumber, gypsum, windows) remain weak. Repair and remodel (R&R) activity offers partial support.

Public company results reflected this divide. Infrastructure-aligned operators achieved 5–7% revenue growth and up to 290 bps of margin expansion, while residential-heavy firms maintained profitability through cost discipline, portfolio refocusing, and greater R&R emphasis.

Looking ahead, the sector's trajectory through 2026 will hinge on monetary easing, the durability of public funding, and the ability to manage structural labor constraints. Tariff and global supply risks remain key watchpoints.

Key Risks to Monitor

- Residential recovery remains fragile without a meaningful decline in interest and mortgage rates or relief from affordability constraints.
- Persistent skilled labor shortages and wage pressures risk prolonging project delays, straining capacity, and locking elevated costs into pipelines even as activity stabilizes.
- Tight lending standards and higher equity requirements—especially for small or speculative borrowers—may constrain starts, delay backlog turnover, and limit private-sector recovery even if rates fall.
- Renewed input cost volatility from tariffs, geopolitical tension, or supply disruption could quickly erode recent price stability, challenging manufacturers and contractors to manage risk and margins effectively.

Success Factors and Strategic Priorities

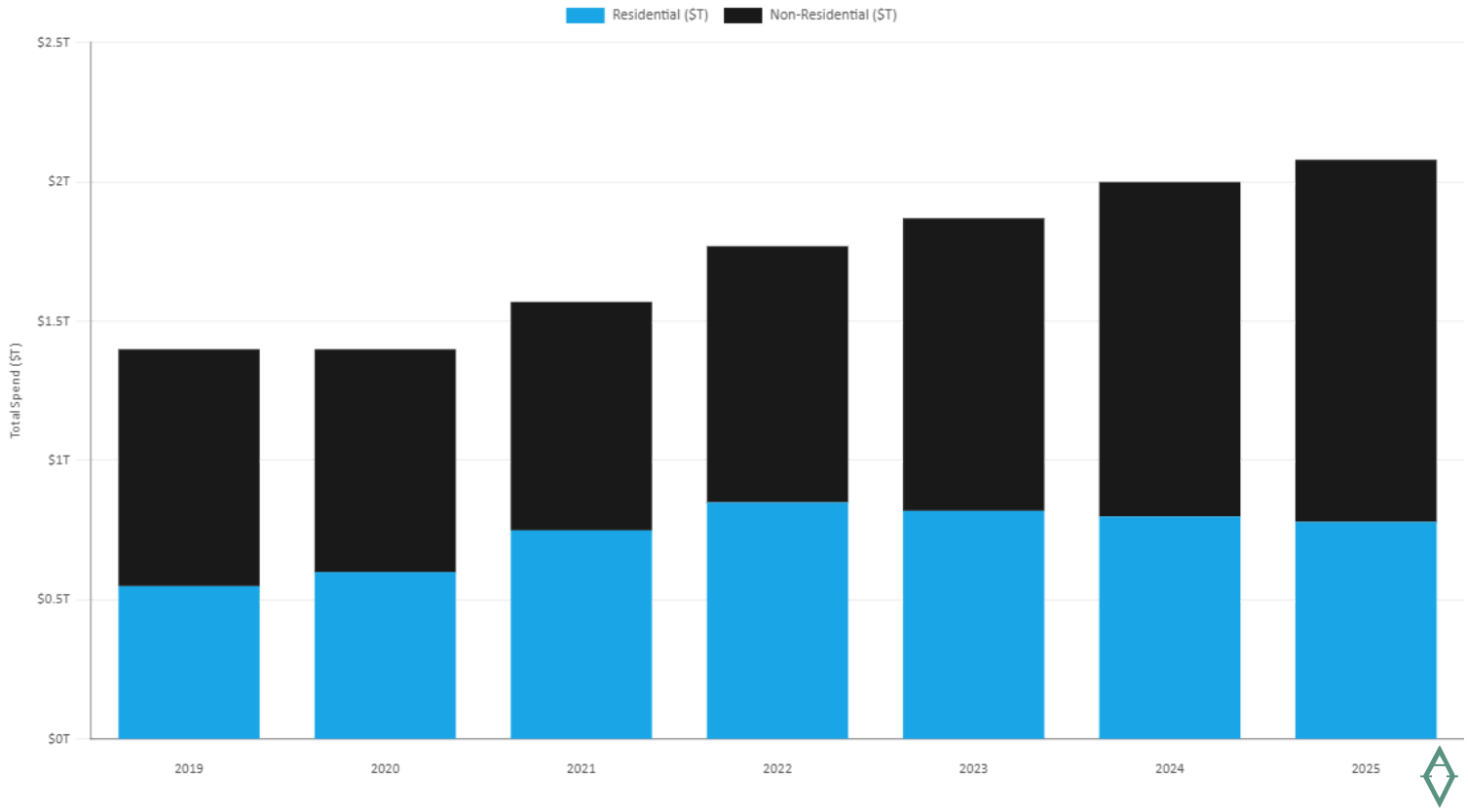
Outperformers will combine cost discipline, pricing strength, and operational agility with investment in supply chain resilience, workforce development, digital transformation, and sustainable product innovation, positioning themselves to navigate volatility while capturing long-term growth.

Market Scope

The global construction market is projected to reach $12.1–$16.5 trillion in 2025, led by Asia-Pacific expansion. The U.S., the world's second-largest market, is expected to reach $2.10–$2.24 trillion, supported by infrastructure investment, public spending, and supply-chain normalization. Following a 7.3% CAGR (2020–2024), U.S. construction growth is moderating to 2.6–4.9% annually through 2030.

Infrastructure and nonresidential segments remain resilient, while the residential sector continues to face affordability and financing headwinds, underscoring the need for focused U.S. market analysis.

Figure 1: Total Construction Spend in the United States ($T)



Market Context & Outlook

2025 YTD Summary

Construction activity in early 2025 was shaped by macro headwinds and widening sector divergence. High mortgage rates and affordability pressures continued to constrain single-family starts, while multifamily completions remained elevated but new starts slowed sharply, signaling weakness into 2026. Nonresidential momentum held firm, supported by industrial, institutional, and infrastructure spending, though late-year data indicate emerging softness in private development as architectural billings trended downward.

Material costs stabilized early in the year before renewed volatility emerged from tariff hikes, particularly on steel, aluminum, and Canadian lumber, and ongoing geopolitical disruptions. Labor shortages persisted, embedding wage inflation and extending project timelines. Credit conditions remained restrictive despite early monetary easing, with lenders maintaining elevated equity thresholds and a cautious stance toward speculative projects.

EOY 2025 + 2026 Prospectus

Residential recovery remains dependent on the pace of monetary easing. Although rates are declining, affordability remains strained, and single-family demand is unlikely to rebound meaningfully until borrowing costs and real incomes improve. Consensus expectations point to gradual recovery through late 2025, strengthening into 2026 as quantitative easing takes hold.

Nonresidential construction should remain resilient, particularly segments backed by multi-year federal programs (IIJA, CHIPS, IRA), though the sustained downturn in architectural billings signals moderate softening in private projects. Credit constraints, tariff-linked cost pressures, and labor scarcity remain the primary risks. Offsetting these, long-duration infrastructure commitments and institutional pipelines provide a stable foundation for growth.

Drivers of Market Health

A range of macroeconomic and industry-specific forces are shaping the near- and medium-term construction outlook. The table below ranks the most influential drivers by impact, indicating recent trend direction (Positive / Neutral / Negative) and whether each serves as a Leading or Lagging indicator.

DRIVER	SUMMARY	INDICATOR TYPE	RECENT TREND
INTEREST AND MORTGAGE RATES	Impact financing conditions for residential, commercial, and industrial projects.	»	Negative
LABOR DYNAMICS	Tight labor market and rising wages constrain project delivery and pressure margins.	«	Negative
MATERIAL AND ENERGY COSTS	Eased from pandemic peaks but still key to project profitability.	»	Neutral
DEMAND VISIBILITY	Building permits and construction backlogs signal future project pipelines.	»	Neutral
GOVERNMENT INFRASTRUCTURE SPENDING	Public investment continues to underpin non-residential demand; impact of new administration still being evaluated.	»	Positive
CREDIT AVAILABILITY AND LENDING STANDARDS	Bank lending conditions influence project financing, especially for commercial developments.	»	Negative
GDP GROWTH AND CONSUMER CONFIDENCE	Broader macroeconomic conditions and sentiment drive overall construction demand.	«	Negative

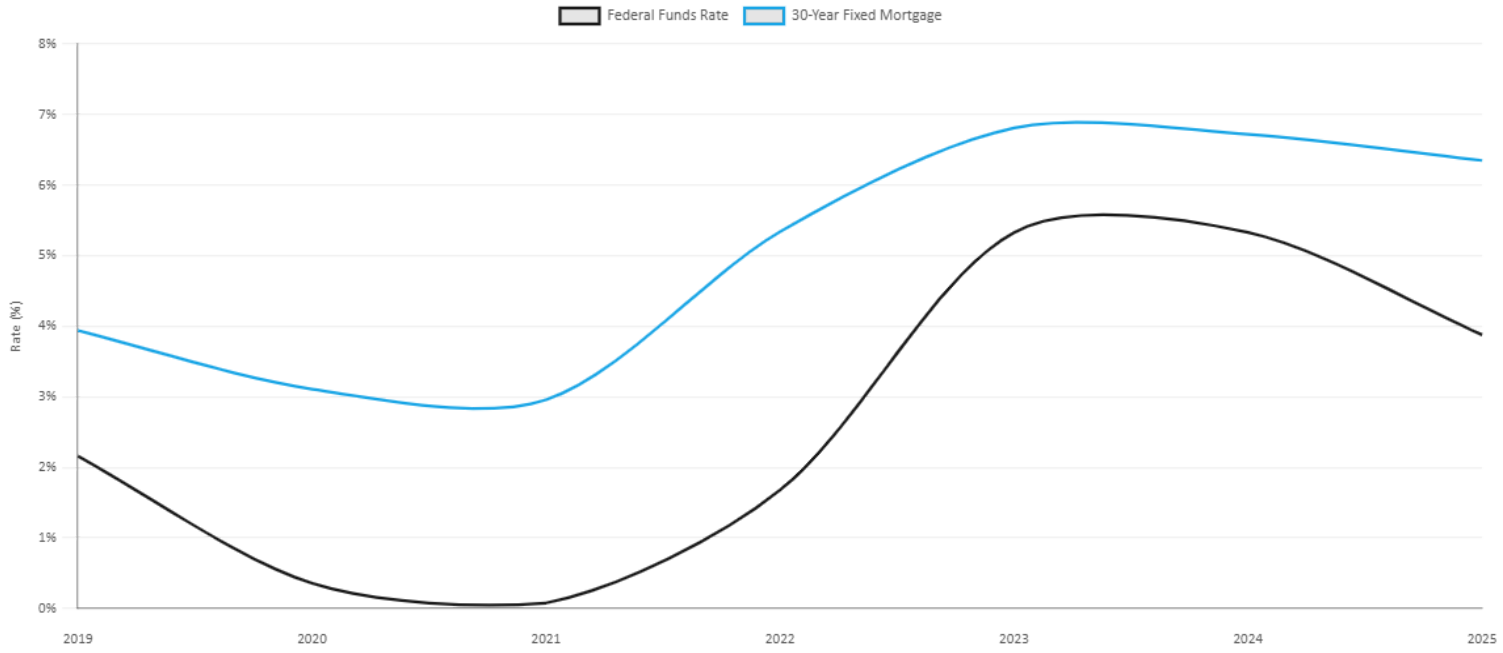
Leading *Lagging*

Recent Trends & Outlook

Interest and Mortgage Rates

The Federal Reserve shifted from tightening to modest easing in 2025, cutting rates twice and lowering the federal funds target to 3.75–4.00% by November. The 30-year fixed mortgage rate averaged 6.7–6.9% for most of the year before easing to 6.2–6.35%. Despite this, borrowing costs remain high, restraining single-family demand and commercial financing.

Figure 2: Federal Funds Effective Rate and 30-Year Fixed Rate Mortgage Average, %



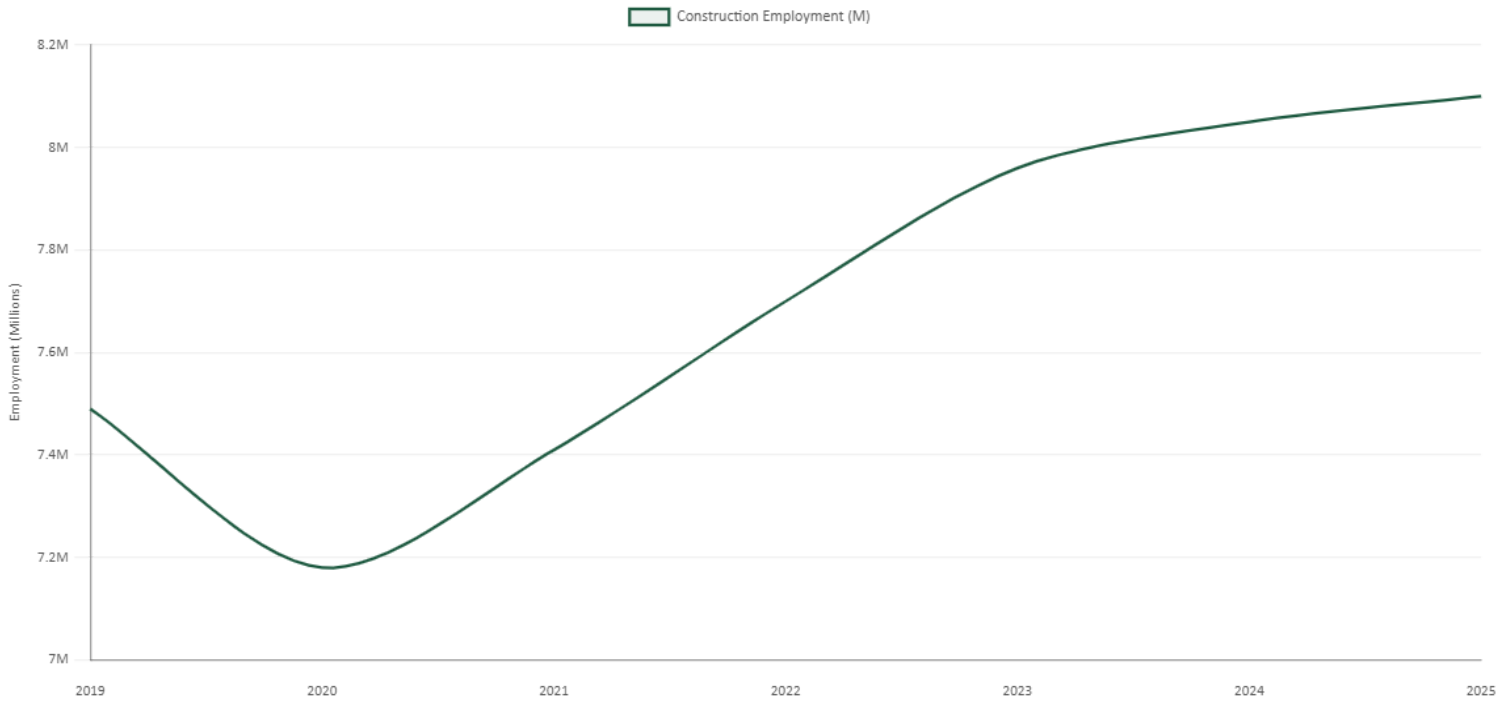
Impact on Construction: Elevated borrowing costs suppress new single-family starts and delay commercial project commitments. Refinancing remains unattractive, limiting capital recycling.

Implication for Materials & Products: Demand for framing, finishing, and HVAC products softens in residential channels. Infrastructure and institutional projects, less rate-sensitive, provide partial offset.

Labor Dynamics

Construction employment reached a record 8.1 million in 2025, but 500,000+ positions remain unfilled. Hourly wages rose 5.2% YoY, outpacing economy-wide gains. Skilled trades—electricians, plumbers, operators—saw 7–9% increases. These pressures extend timelines 15–20% and compress contractor margins.

Figure 3: Construction Industry Employment, Millions



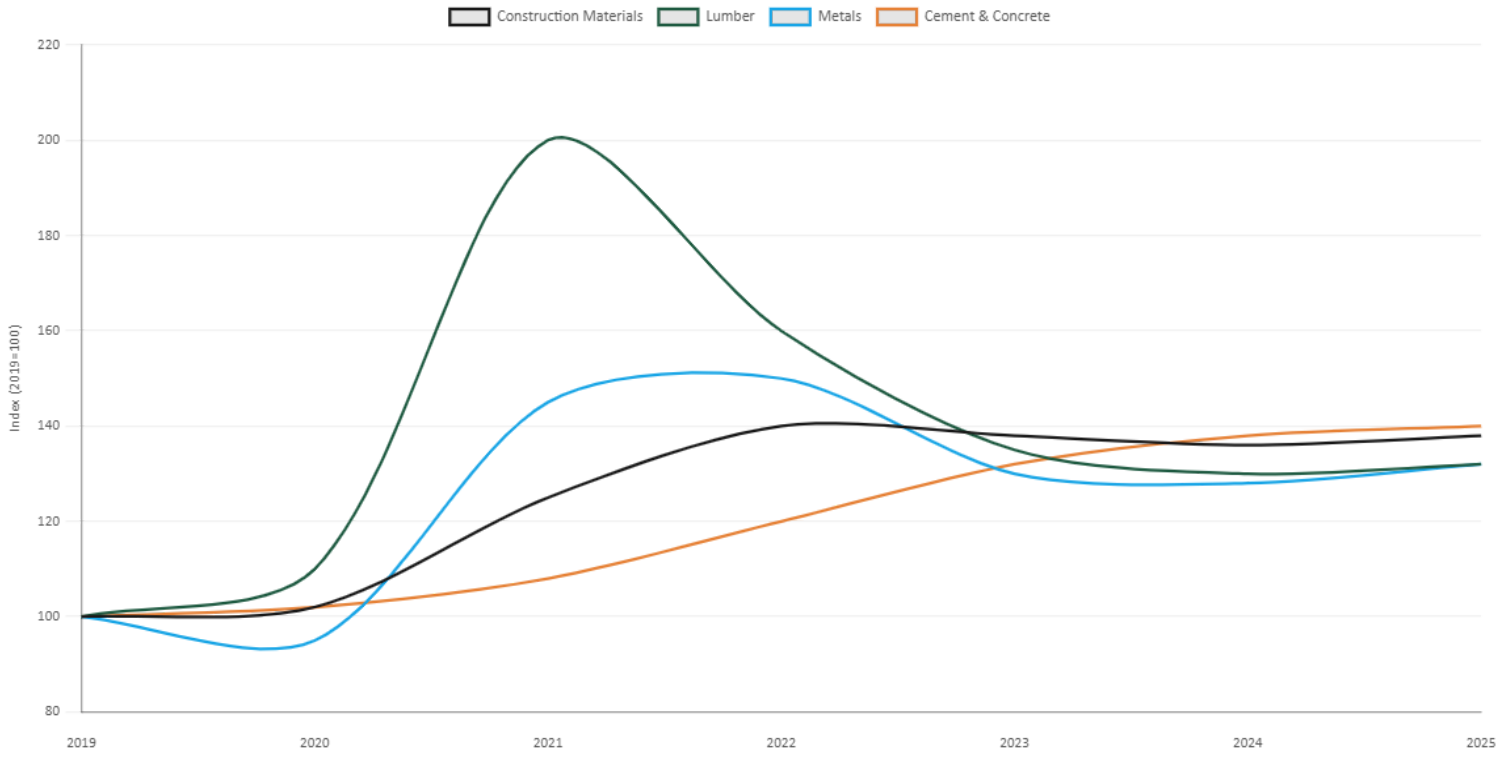
Impact on Construction: Structural labor scarcity constrains capacity across sectors. Backlogs extend, and labor becomes a binding constraint even where funding is available.

Implication for Materials & Products: Delayed projects slow material pull-through. Firms investing in prefabrication and labor-saving products gain competitive advantage.

Material and Energy Costs

After post-pandemic corrections, material and energy costs stabilized through late 2024 and 2025, with the construction materials PPI up only 1.3% YoY. Lumber prices fluctuated between $430–$690 per MBF, settling near $500 as weak demand offset a 35% Canadian tariff. Copper and steel prices plateaued but now face renewed pressure from tariffs raising import duties to 20–25%. Fuel costs stayed steady but remain sensitive to global supply shocks.

Figure 4: Building Materials Producer Price Indices (2019–2025, Indexed)



Impact on Construction: Stabilized input costs support margin recovery for contractors and manufacturers, but tariff escalation poses a renewed threat to project economics.

Implication for Materials & Products: Expanding tariffs on metals, lumber, and appliances could add $7,500–$10,000 to new home costs, reintroducing volatility and compressing builder margins.

Demand Visibility

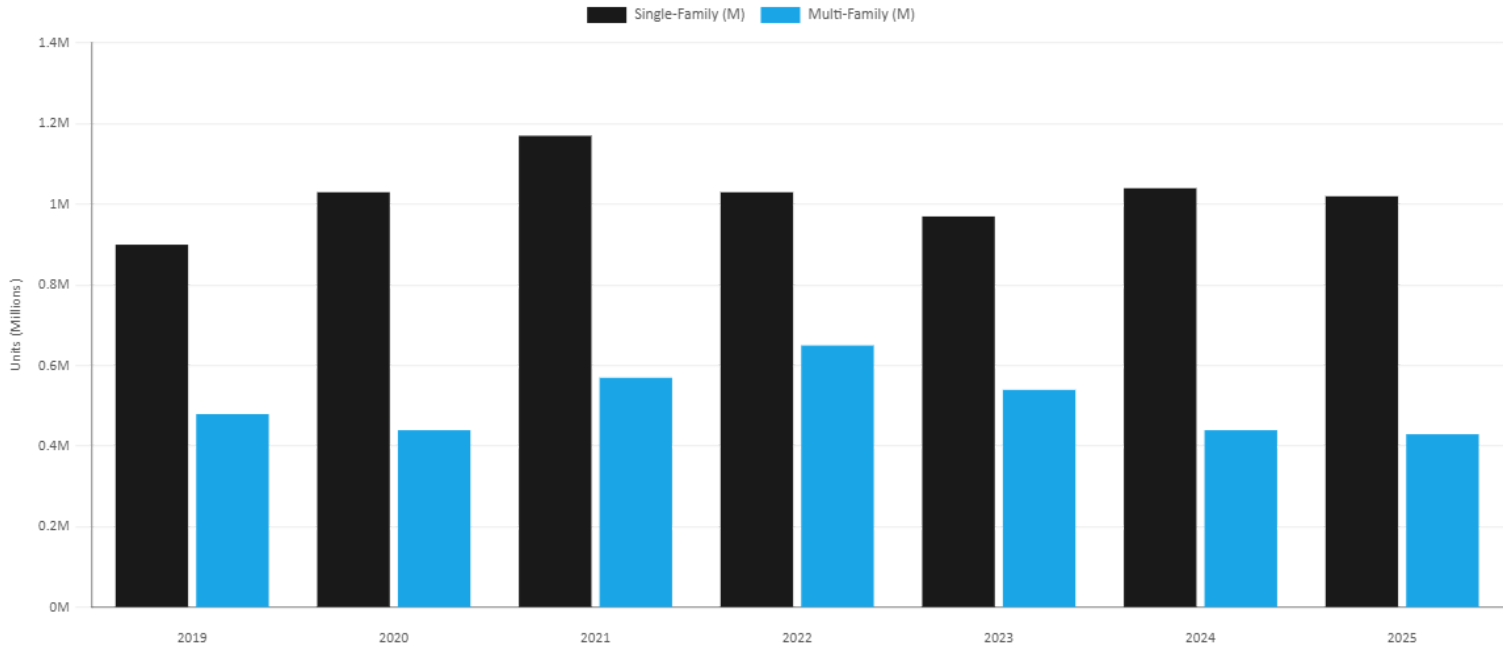
Residential

Residential demand softened through 2025, with permits down 2–4% YoY by late Q3. Homebuilders leaned on mortgage buydowns and discounts to sustain sales, but absorption remained slow. Starts and completions trended lower amid record-high price-to-income ratios and weak confidence.

Impact on Construction: Persistent softness in permits and absorption indicates a muted single-family pipeline into 2026.

Implication for Materials & Products: Ongoing weakness restrains framing and finishing materials demand, though R&R activity provides partial offset.

Figure 6: New Privately Owned Housing Units Authorized by Building Permits (M)



Nonresidential & Infrastructure

Nonresidential pipelines remain solid, with 6–8-month backlogs supported by infrastructure and institutional work. However, the Architecture Billings Index has contracted for 16 consecutive months, particularly in commercial and multifamily sectors, signaling fewer new projects.

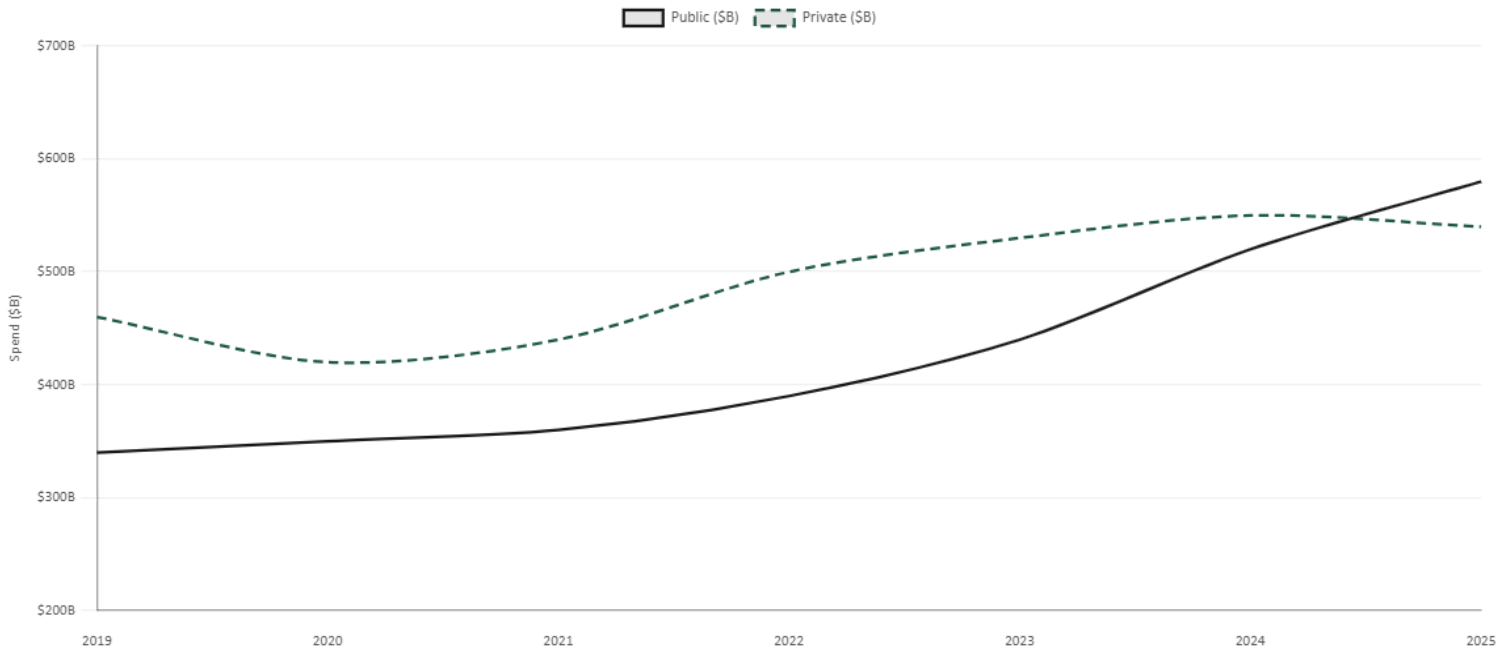
Impact on Construction: Institutional and infrastructure work sustain backlogs, but private-sector softness may curb new starts beyond 2025.

Implication for Materials & Products: Heavy materials demand remains stable; interior and finishing products will likely stay muted until private project flow improves.

Government Infrastructure Spending

Since mid-2024, over $430 billion in federal funding has been deployed under IIJA, CHIPS, and IRA, concentrated in transportation, water systems, broadband, and manufacturing infrastructure. These programs leverage over $1 trillion in total public–private commitments, providing multiyear visibility. In 2025, semiconductor construction incentives expanded, with 35% fabrication tax credits attracting major investments.

Figure 8: US Non-Residential Construction Spend (2019–2025, $B)



Impact on Construction: Multi-year funding streams underpin activity in transportation, utilities, and manufacturing, creating a stable floor even as select green-energy projects face headwinds.

Implication for Materials & Products: Federal investment establishes durable demand for aggregates, concrete, asphalt, and steel, though localized volatility will persist in energy segments exposed to policy risk.

Credit Availability and Lending Standards

Credit conditions have tightened steadily since late 2024. Banks reduced LTV/LTC ratios, increased equity requirements to ~25–30%, and strengthened underwriting, pressuring smaller developers. Regional lenders have pulled back most sharply. Larger, well-capitalized borrowers still access private credit, though at higher costs.

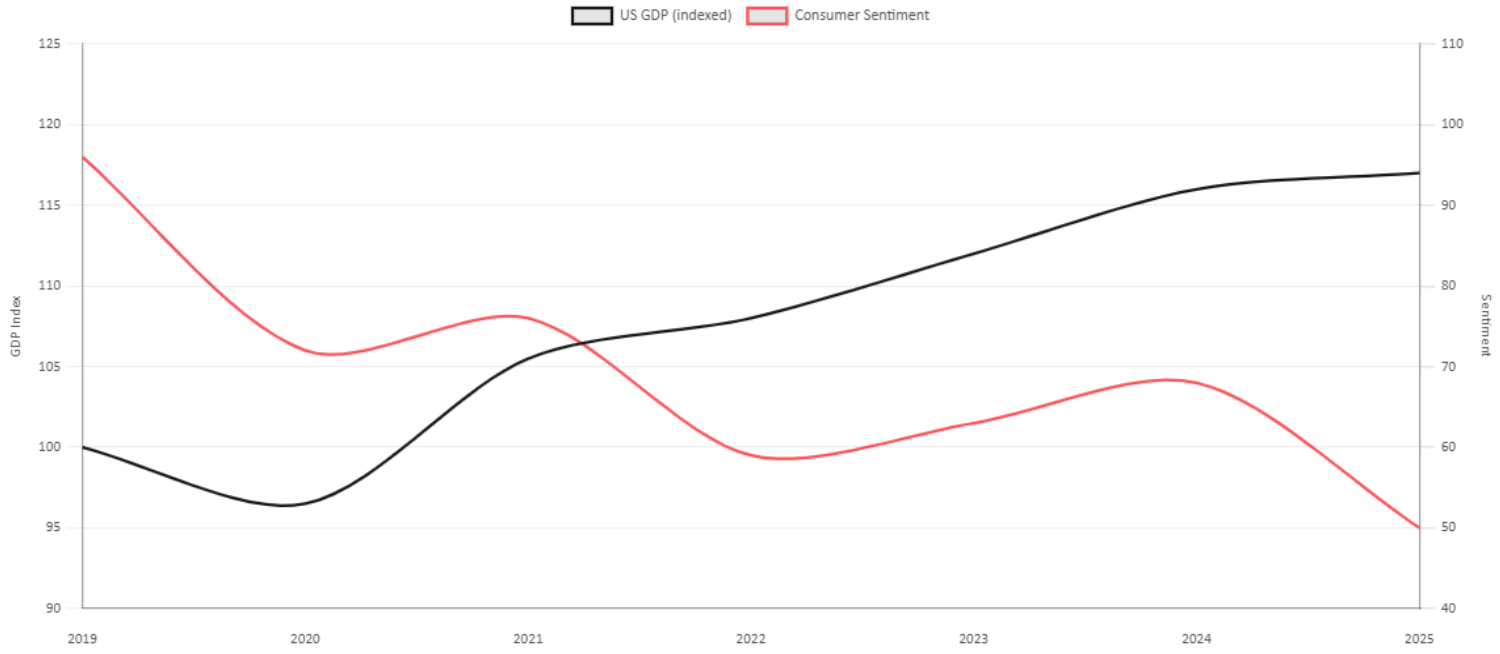
Impact on Construction: Restrictive lending continues to limit new starts for smaller and speculative developers, concentrating activity among large sponsors.

Implication for Materials & Products: Reduced lending weakens order flow in office, retail, and speculative housing, while well-capitalized contractors consolidate procurement.

GDP Growth and Consumer Confidence

Q1 2025 marked the first GDP contraction in three years (−0.5%), followed by a rebound: Q2 grew 3.3–3.8%, and Q3 is tracking 2–4%. Despite this, consumer sentiment fell to a three-year low (U-Mich Index: 50.3) amid concerns over the government shutdown, inflation expectations, and labor uncertainty. Housing affordability remains near forty-year lows, with mortgage payments consuming over 36% of median income versus 28% pre-pandemic.

Figure 10: Index of US GDP and U-M Consumer Sentiment Survey (2019–2025)



Impact on Construction: The gap between GDP recovery and weak sentiment constrains discretionary residential and commercial projects, especially non-essential upgrades.

Implication for Materials & Products: Muted homeowner and small-business spending limits uplift from R&R and fit-out demand, weighing on mid- to high-end finishes.

Conclusion: Implications from Sector Drivers

The U.S. construction industry faces a challenging but manageable outlook. Residential activity will stay subdued amid high rates and affordability constraints, while nonresidential demand is anchored by infrastructure backlogs and industrial investment. Persistent labor shortages and tight credit will constrain delivery and financing.

> ***1. Why GDP Strength is not Reflected in Sentiment***
>
> Since the COVID era, U.S. GDP has recovered robustly, yet consumer confidence remains historically depressed. This divergence reflects lingering inflation effects, declining trust in economic mobility, and increasingly pessimistic survey biases. For building materials and construction sectors, this means caution persists not because of macro weakness, but due to psychological and perceptual dynamics that may temper demand even amid positive fundamentals.

Public Company Performance Snapshot (2025 YTD)

Year-to-date results reveal divergent performance among leading North American building materials firms, driven by portfolio mix, pricing discipline, and operational execution.

Aggregates and cement producers (CRH, Martin Marietta, Vulcan Materials) achieved 5–7% revenue growth and 100–290 bps margin expansion. Vulcan's EBITDA margin improved 290 bps, and Martin Marietta's cash profit per ton rose 12%.

Residential-exposed manufacturers (Owens Corning, JELD-WEN, Builders FirstSource) saw moderate to steep declines, with BLDR's organic net sales down 10.6% in Q3. Nonetheless, strong cost control and R&R demand supported margins.

Performance Themes (YTD 2025)

- **Infrastructure-Linked Outperformance:** Heavy-materials portfolios tied to public projects outperformed in both revenue and margins.
- **Margin Resilience via Pricing and Cost Control:** Pricing discipline and lean SG&A management protected profitability.
- **R&R as a Defensive Segment:** Stable homeowner demand offset new-build softness.
- **Strategic Portfolio Management:** Firms pursued strategic M&A (+24% YoY deal size) and divested non-core assets.
- **Capital Allocation Discipline:** Strong balance sheets sustained dividends and buybacks.

Positioning for EOY 2025 & Beyond

Firms aligned with public infrastructure and long-cycle industrial projects are positioned for continued stability. Residential-focused operators must rely on steady R&R activity, efficiency gains, and disciplined pricing. The Architecture Billings Index, contracting for over a year, signals potential backlog moderation by early 2026.

Trend Continuity & Retrospective Analysis

Variances from Expectation

Market performance through H1 2025 generally matched forecasts, though several deviations reshaped the near-term outlook. Residential permitting fell 2.3–3.7% YoY (single-family −4.7%), steeper than expected due to affordability strain. Nonresidential output outpaced expectations in Q2, but ABI contraction (16–19 months) to 43.3 in September signaled deeper private-sector cooling.

Looking Ahead

Key variables into 2026 include the pace of Fed rate cuts, tariff impacts on costs, and the durability of infrastructure backlogs. Other watchpoints include a potential reversal in ABI declines, the resilience of R&R demand, and signs of moderating wage inflation.

How Applied Value Can Help

Applied Value delivers measurable results for building materials and construction companies through its Lean Growth framework, centered on Focus, Simplicity, and Speed.

- **Optimize Sourcing & Supply Chains:** Reduce costs through supplier negotiations, risk mitigation, and inventory efficiency.
- **Enhance Operational Efficiency:** Apply Lean Growth tools to streamline processes, reduce complexity, and accelerate execution.
- **Improve Pricing & Commercial Strategy:** Strengthen pricing discipline and segmentation to protect margins.
- **Support Strategic M&A & Portfolio Optimization:** Identify value-accretive adjacencies and execute integrations.
- **Accelerate Digitalization & Productivity:** Enable data-driven decision-making, automation, and real-time visibility.

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Public Company Performance Snapshot (H1 2025)

The following table summarizes year-to-date 2025 performance and strategic positioning for leading public building materials and products companies, segmented by nonresidential-forward, distribution, and residential-forward exposure.

Aggregates and cement producers such as CRH, Martin Marietta, and Vulcan Materials captured revenue and margin gains of 5–7% and 100–290 bps, respectively, driven by infrastructure and industrial spending.

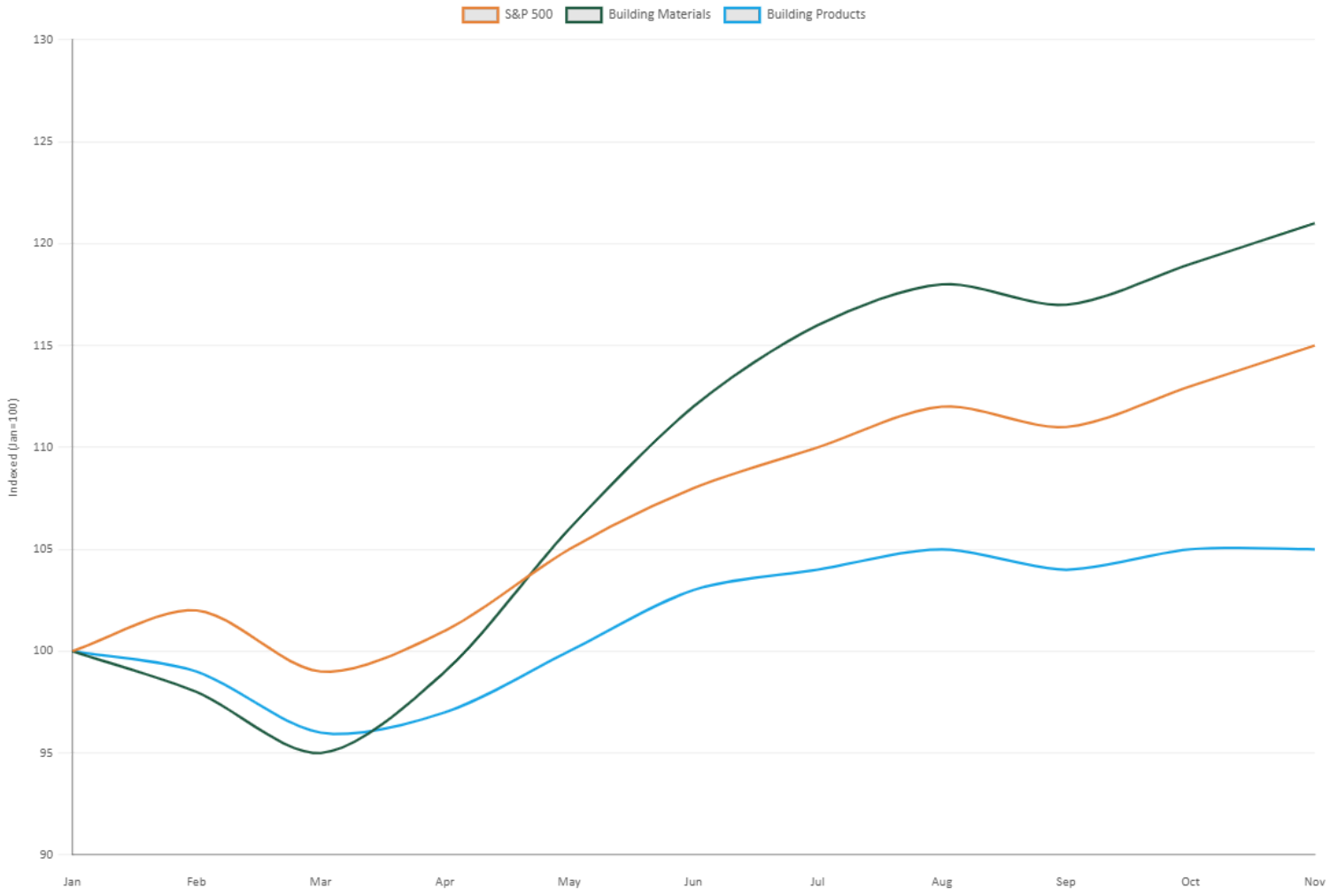
Residential-exposed manufacturers—including JELD-WEN, Builders FirstSource, and Masco—navigated volume headwinds through cost actions, R&R targeting, and disciplined pricing, stabilizing margins despite macro pressures.

Segment	Company (Ticker)	Headline Performance / Strategy (H1 2025)
Aggregates & Cement	CRH (CRH)	Robust growth driven by infrastructure and public project exposure; expanded U.S. footprint via strategic M&A; margin up over 100 bps YTD.
	Martin Marietta (MLM)	Revenue up 8% YoY, with public works backlog and aggregates/ready-mix pricing fueling strong margin and profit-per-ton gains.
	Vulcan Materials (VMC)	EBITDA margin expanded by 290 bps YTD; cost discipline and pass-through pricing delivered 12% higher profit per ton.
	Eagle Materials (EXP)	Outperformed on infrastructure and nonresidential demand; diversified product mix steadied revenue.
Fiberglass & Composites	Owens Corning (OC)	Residential volumes declined, but strong cost controls and steady R&R/insulation stabilized adjusted EBITDA margin at 24%.
Wood Products	Weyerhaeuser (WY)	Modest lumber pricing recovery; diversified forest assets supported results despite residential softness.
	UFP Industries (UFPI)	Growth in specialty and industrial wood segments offset sluggish homebuilding; resilient margin performance.
	West Fraser (WFG)	Demand for lumber remained muted, but improved inventory discipline and operational efficiencies protected earnings.
	Simpson Mfg (SSD)	Energy-efficient structural components and strong execution in repair/retrofit channels buoyed performance.
Distribution	Builders FirstSource (BLDR)	Core organic sales down 10.6%; R&R/other segment stable (−1.2%); margin buoyed by targeted M&A and SG&A efficiencies.
Roofing Dist.	Beacon Roofing (BECN)	Stable commercial and R&R volumes; supply chain and cost controls supported margin integrity.
Roofing & Insul.	Carlisle Cos (CSL)	Commercial roofing and insulation demand steady; specialty price increases offset softer segments.
Insulation & Panels	Kingspan (KRX)	Growth in North America and robust demand for high-performance building envelopes and insulation.
Doors & Windows	JELD-WEN (JELD)	Residential and commercial volumes declined; cost actions restored profitability; North America revenue down 19%.
	Masonite (DOOR)	Continued single-family/R&R recovery; ongoing operational focus maintained profitability amid macro headwinds.
Water Mgmt	Adv. Drainage (WMS)	Stormwater and public works demand strong; volume gains in municipal and nonresidential projects.
Kitchen & Bath	Masco (MAS)	R&R-driven demand in branded kitchen/bath; cost and SG&A programs offset softer newbuild volumes.
	Fortune Brands (FBIN)	Outperformed via product innovation, supply chain resilience, and investment in branded growth channels.
Infrastructure/MEP	Emcor Group (EME)	Public backlog robust, driven by infrastructure/mechanical work; innovation and spend discipline sustained results.
Retail/R&R	Home Depot (HD)	R&R and maintenance spending outperformed discretionary improvement; sales gains led by professional customers.

Nonresidential Forward *Distribution* *Residential Forward*

The factors listed above have split returns for building materials and products firms, with non-residential-aligned players outperforming residential-focused peers.

Share price performance, YTD returns by segment



This report analyzes the financial performance of 35 building materials and products companies operating in the US, covering 500 BUSD in revenue

Building Materials Companies

Segment	Company	Rev (LTM BUSD)
Cement, Agg. & Ready-mix	CRH	$36.3
	CEMEX	$15.7
	Heidelberg Materials	$25.4
	Holcim	$33.0
	Martin Marietta	$6.7
	Taiheiyo Cement	$6.2
	Vulcan	$7.6
Glass	AGC	$14.2
	Owens Corning	$11.7
	Saint-Gobain	$55.1
Lumber & Wood	Canfor	$3.9
	Interfor	$2.2
	UFP	$6.5
	West Fraser	$5.8
	Weyerhaeuser	$7.0
Steel	ArcelorMittal	$60.6
	Nucor	$30.8
	Steel Dynamics	$17.1
Bricks & Masonry	Wienerberger	$5.5

Building Products Companies

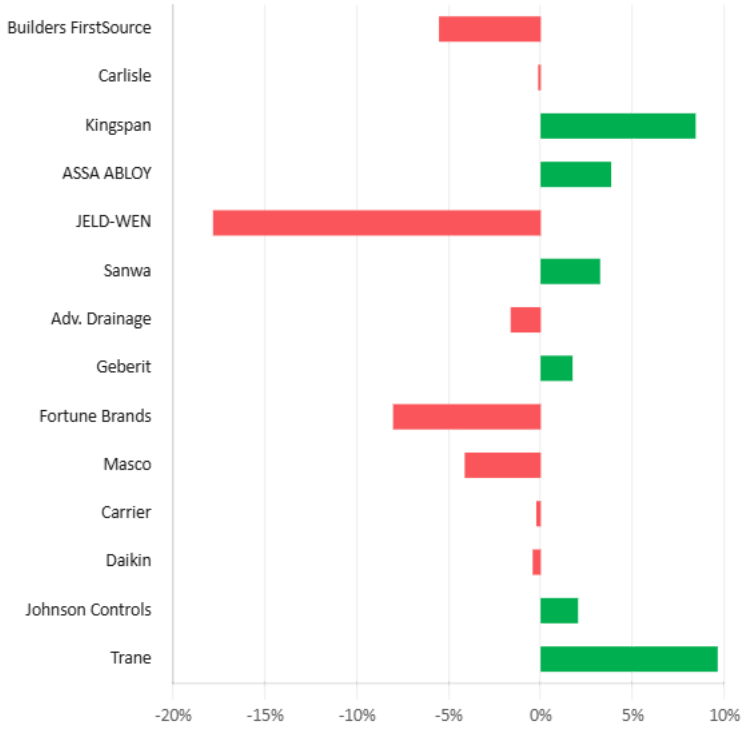
Segment	Company	Rev (LTM BUSD)
Envelope, Roof, Siding, Insul.	Builders FirstSource	$15.9
	Carlisle Companies	$5.0
	Kingspan	$10.5
	QXO	$1.9
Doors & Windows	ASSA ABLOY	$16.1
	JELD-WEN	$3.4
	LIXIL	$10.4
	Sanwa	$4.6
Piping	Adv. Drainage	$2.9
Kitchen & Bath	Geberit	$3.9
	Fortune Brands	$4.5
	Masco	$7.7
HVAC-R, Fire & Security	Carrier	$22.5
	Daikin	$32.7
	Johnson Controls	$23.4
	Trane	$20.8

Most Categories Return to Normal in H1 ’25; Cement & HVAC-R Remain Exceptions

Cement/Agg Glass Lumber Steel Brick Envelope/Roof Doors/Win Kitchen/Bath Piping HVAC-R

Building Materials — Revenue Growth YoY, %

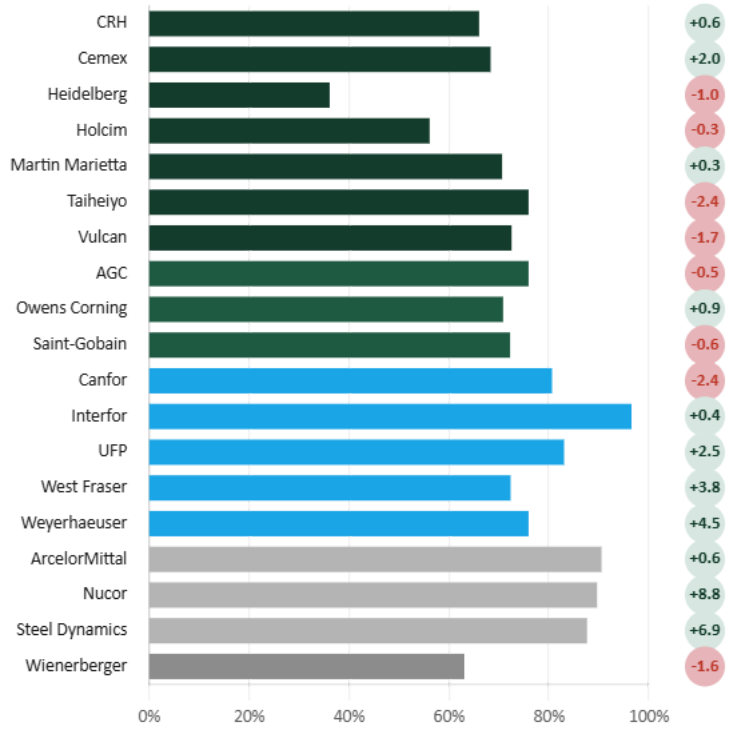
Building Products — Revenue Growth YoY, %



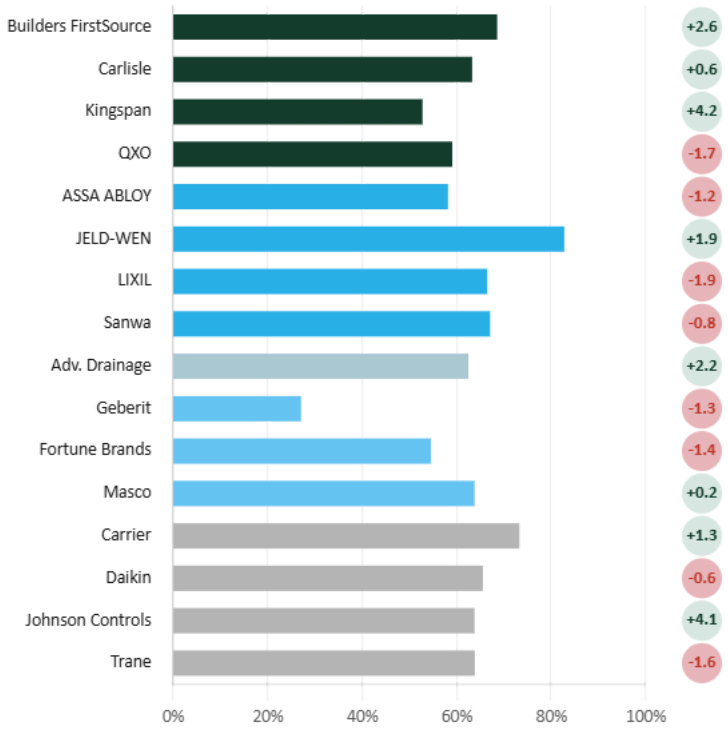
Source: Capital IQ, Applied Value analysis. Note: Owens Corning acquired Masonite for $3.9B in May 2024. QXO acquired Beacon Roofing Supply for ~$11B in April 2025.

Most companies saw improvement in COGS/Sales due to easing inflation & cost pressures YoY

Building Materials — COGS/Sales H1 2025, %



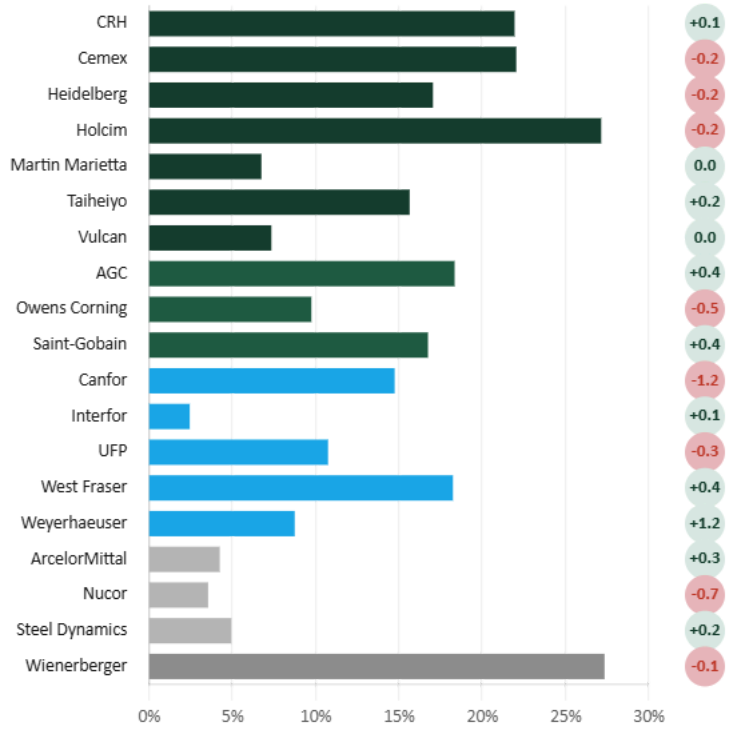
Building Products — COGS/Sales H1 2025, %



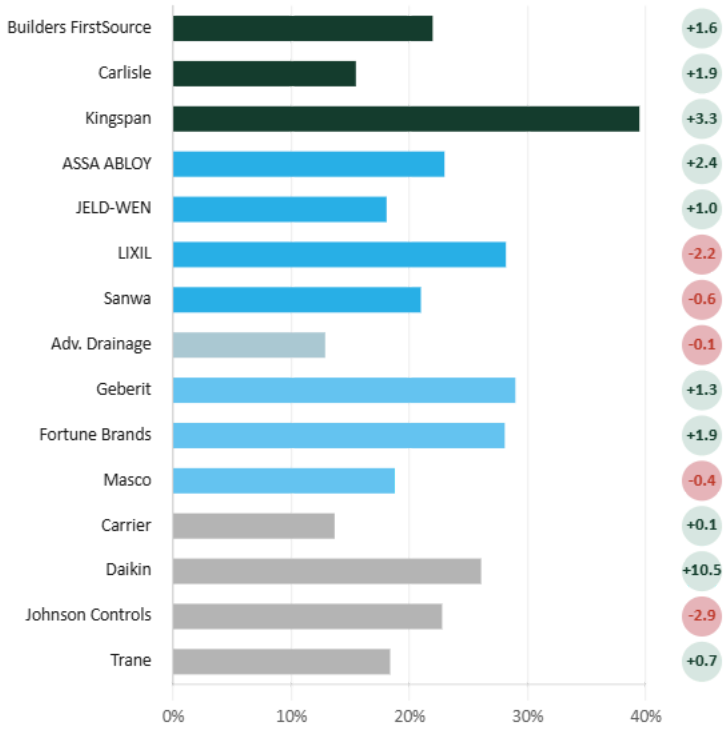
Source: Capital IQ, Applied Value analysis

SG&A as a percent of sales greatly varies within sub-sectors; most companies experienced an increase YoY

Building Materials — SG&A/Sales H1 2025, %



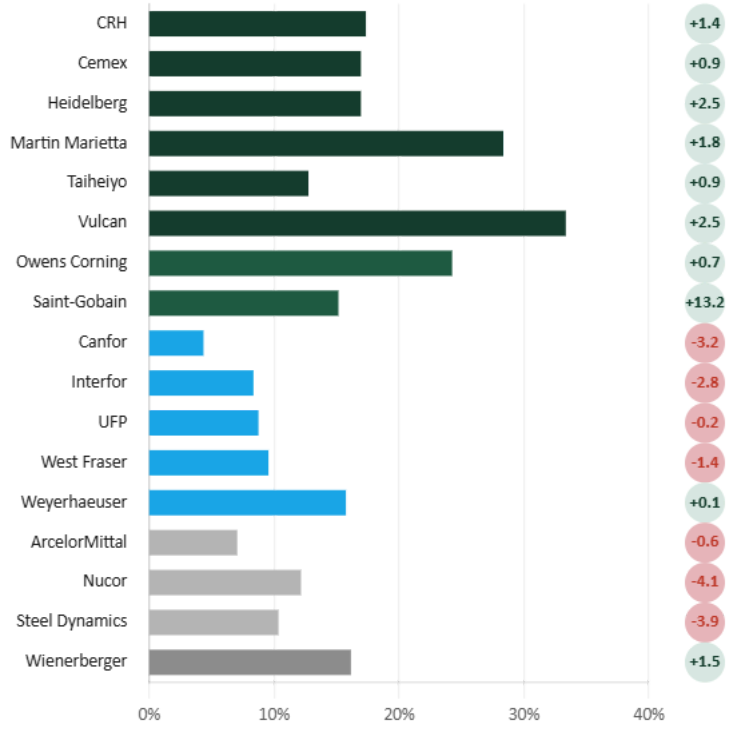
Building Products — SG&A/Sales H1 2025, %



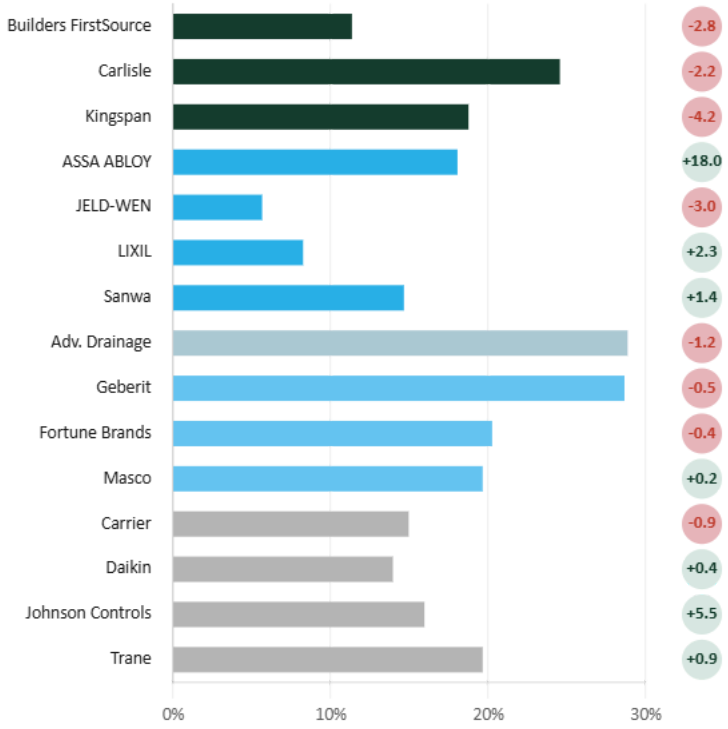
Source: Capital IQ, Applied Value analysis. Note: QXO SG&A/Sales of 230.4% excluded (distorted by Beacon acquisition).

Cement sub-sector margins improved YoY; building products experienced mixed results

Building Materials — EBITDA Margin H1 2025, %



Building Products — EBITDA Margin H1 2025, %



Source: Capital IQ, Applied Value analysis

Appendix

Appendix #1: Applied Value Q3-2025 in Review

[Content from AV internal Q3 review]

Appendix #2: Additional Reports & Contact Information

Report	Frequency	Owner	Email
Steel Report	Quarterly	Eli Kaganov	eli.kaganov@appliedvalue.com
Pulp & Paper	Quarterly	Jack Troller	jack.troller@appliedvalue.com
Non-Ferrous	Quarterly	Grant Burden	grant.burden@appliedvalue.com
Telecom	Semi-Annual	Lambert Rutaganda	lambert.rutaganda@appliedvalue.com
Auto Tier 1	Semi-Annual	Leo Yang	leo.yang@appliedvalue.com
Pharma/Med-Tech	Pending	Philip Nordenström	philip.nordenstrom@appliedvalue.com
Tariff Updates	As Needed	Justin Leopold	justin.leopold@appliedvalue.com
Logistics & Transportation	Quarterly	Chris Lange	chris.lange@appliedvalue.com
AV Wrapped	Quarterly	John Catapano	john.catapano@appliedvalue.com

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